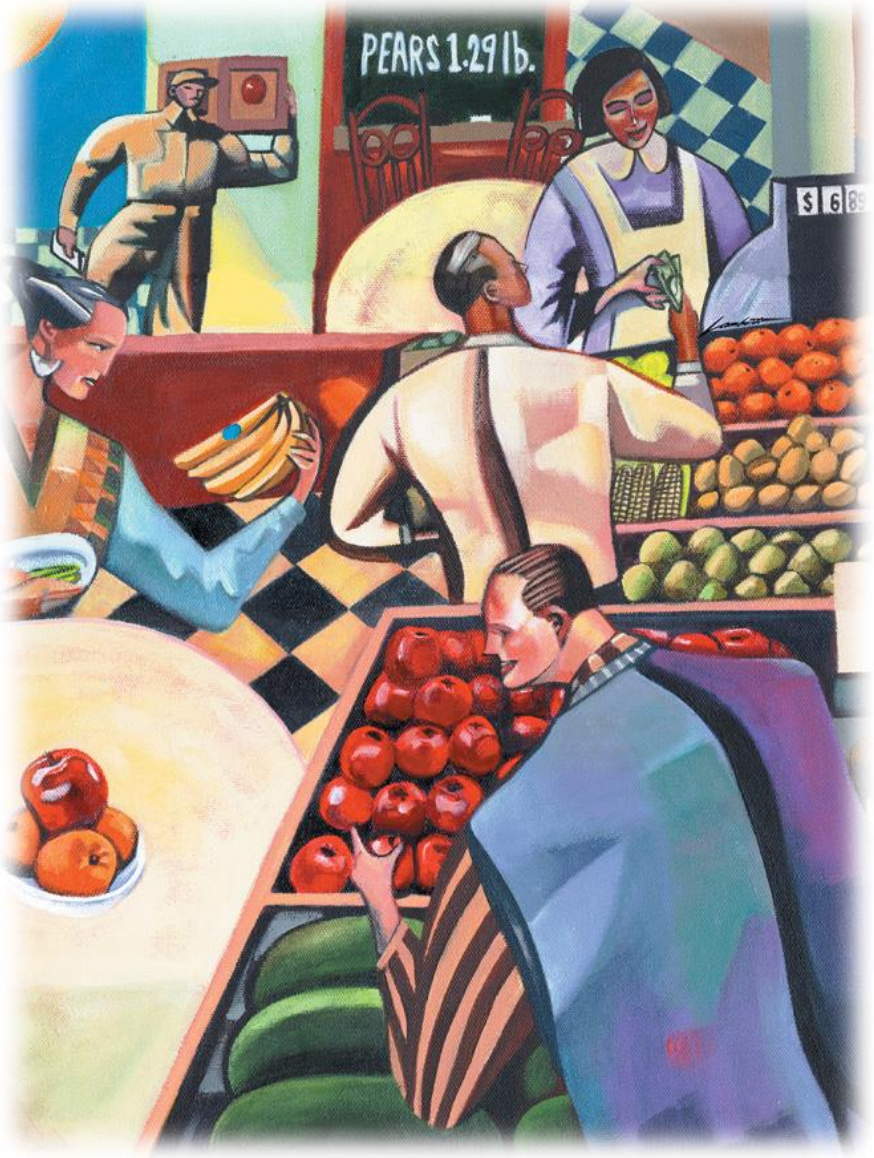


Topic 2

Supply and Demand I:

How Markets Work

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In this chapter you will…

- Learn the nature of a competitive market.
- Examine what determines the demand for a good in a competitive market.
- Examine what determines the supply of a good in a competitive market.
- See how supply and demand together set the price of a good and the quantity sold.
- Consider the key role of prices in allocating scarce resources.

THE MARKET FORCES OF SUPPLY AND DEMAND

- ***Supply*** **and** ***Demand*** **are the two words that economists use most often.**
- ***Supply*** **and** ***Demand*** **are the forces that make market economies work!**
- **Modern** ***microeconomics*** **is about supply, demand, and market equilibrium.**

MARKETS AND COMPETITION

- The terms *supply* and *demand* refer to the behaviour of people. . .
- . . .as they *interact* with one another in *markets.*
- A *market* is a group of buyers and sellers of a particular good or service.
  - *Buyers* determine *demand...*
  - *Sellers* determine *supply…*

DEMAND

- ***Quantity Demanded*** **refers to the *amount* (quantity) of a good that *buyers are willing* to purchase at alternative prices for a given period.**

Determinants of Demand

- What factors determine how much ice cream you will buy?
- What factors determine how much you will really purchase?

1) *Product's Own Price*
2) *Consumer Income*
3) *Prices of Related Goods*
4) *Tastes*
5) *Expectations*
6) *Number of Consumers*

1) Price

Law of Demand

- **The *law of demand* states that, other things equal, the quantity demanded of a good falls when the price of the good rises.**

2) Income

- As income increases the demand for a *normal good* will increase.
- As income increases the demand for an *inferior good* will decrease.

3) Prices of Related Goods

Prices of Related Goods

- When a fall in the price of one good reduces the demand for another good, the two goods are called ***substitutes***.
- When a fall in the price of one good increases the demand for another good, the two goods are called ***complements***.

4) Others

- Tastes
- Expectations

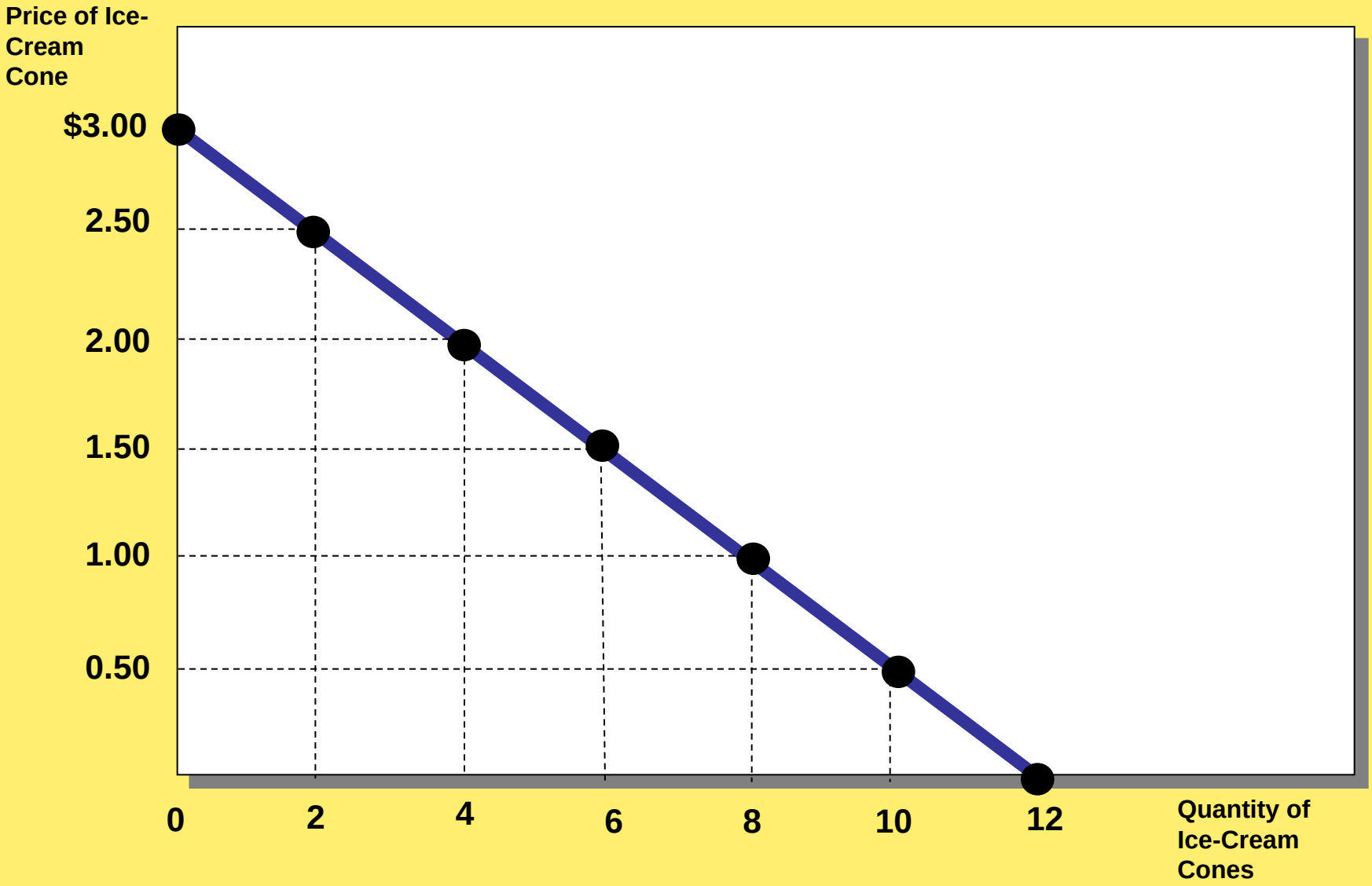
The Demand Schedule and the Demand Curve

- The *demand schedule* is a table that shows the relationship between the price of the good and the quantity demanded.
- The *demand curve* is a graph of the relationship between the price of a good and the quantity demanded.
- *Ceteris Paribus: "Other thing being equal"*

Table 4-1: Catherine's Demand Schedule

Price of Ice-cream Cone ($)	Quantity of cones Demanded
0.00	12
0.50	10
1.00	8
1.50	6
2.00	4
2.50	2
3.00	0

Figure 4-1: Catherine's Demand Curve



Market Demand Schedule

- Market demand is the ***sum of all individual demands*** at each possible price.
- Graphically, individual demand curves are summed horizontally to obtain the market demand curve.
- Assume the ice cream market has two buyers as follows…

Table 4-2: Market demand as the Sum of Individual Demands

Price of Ice-cream Cone ($)	Catherine		Nicholas		Market
0.00	12	+	7	=	19
0.50	10		6		16
1.00	8		5		13
1.50	6		4		10
2.00	4		3		7
2.50	2		2		4
3.00	0		1		1

Figure 4-3: Shifts in the Demand Curve

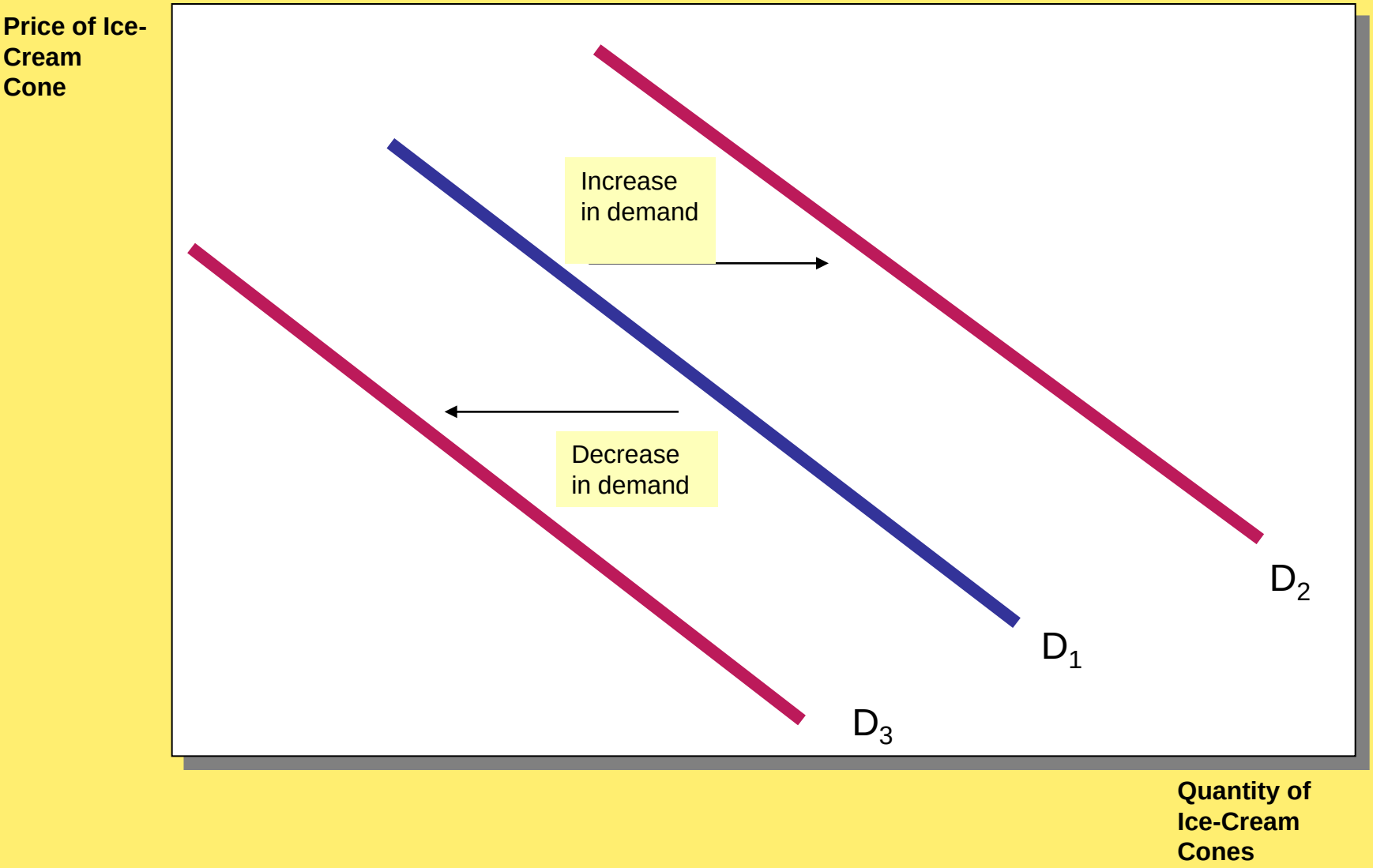


Table 4-3: The Determinants of Quantity Demanded

Variable	A Change in This Variable . . .
Price	Represents a movement along the demand curve
Income	Shifts the demand curve
Prices of related goods	Shifts the demand curve
Tastes	Shifts the demand curve
Expectations	Shifts the demand curve
Number of buyers	Shifts the demand curve

Shifts in the Demand Curve *versus* Movements Along the Demand Curve

Figure 4-4 a): A Shifts in the Demand Curve

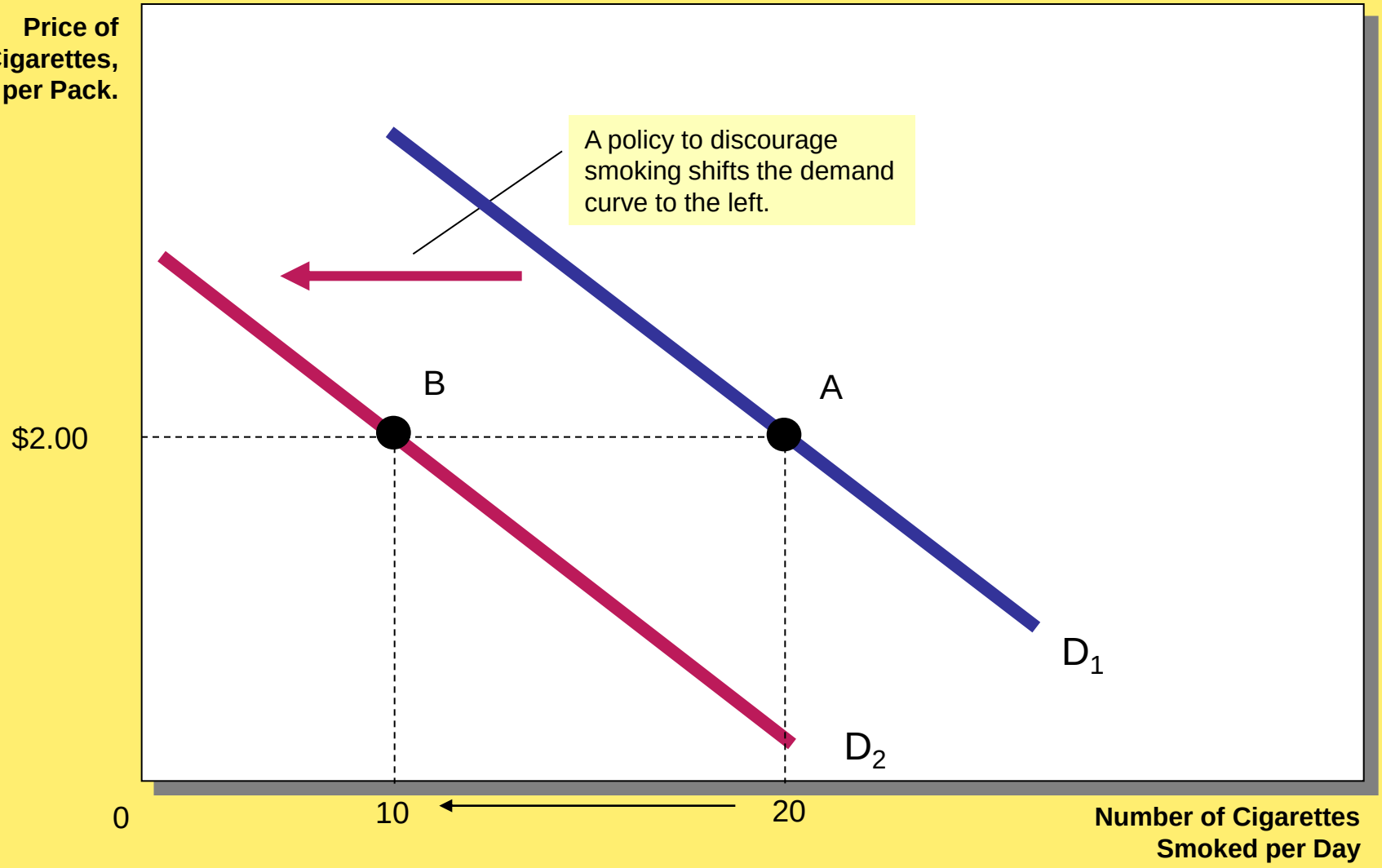
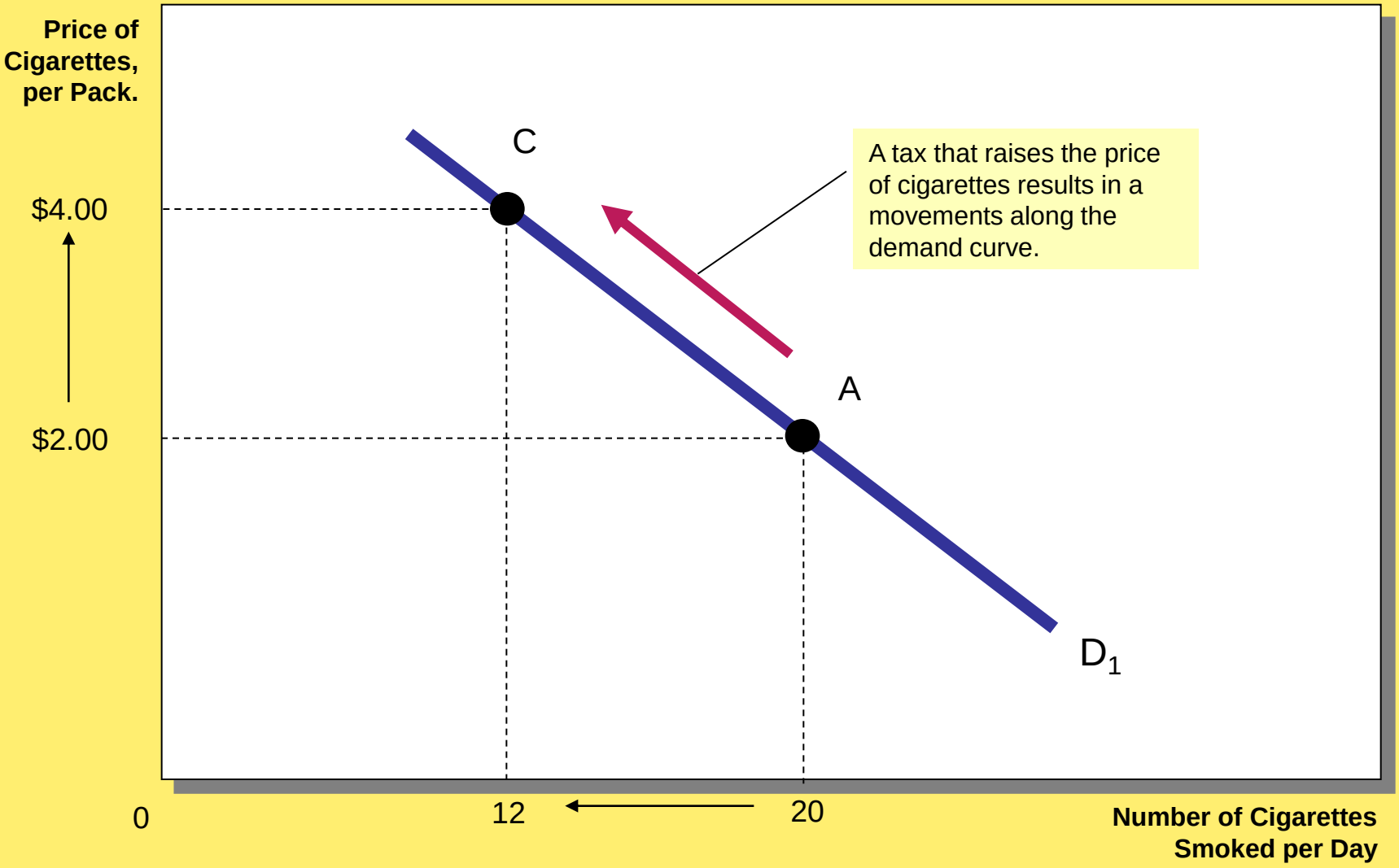


Figure 4-4 b): A Movement Along the Demand Curve



SUPPLY

- ***Quantity Supplied*** **refers to the *amount* (quantity) of a good that *sellers* are *willing* to make available for sale at alternative prices for a given period.**

Determinants of Supply

- **What factors determine how much ice cream you are willing to offer or produce?**

1) ***Product's Own Price***
2) ***Input prices***
3) ***Technology***
4) ***Expectations***
5) ***Number of sellers***

1) Price

Law of Supply

- **The *law of supply* states that, other things equal, the quantity supplied of a good rises when the price of the good rises.**

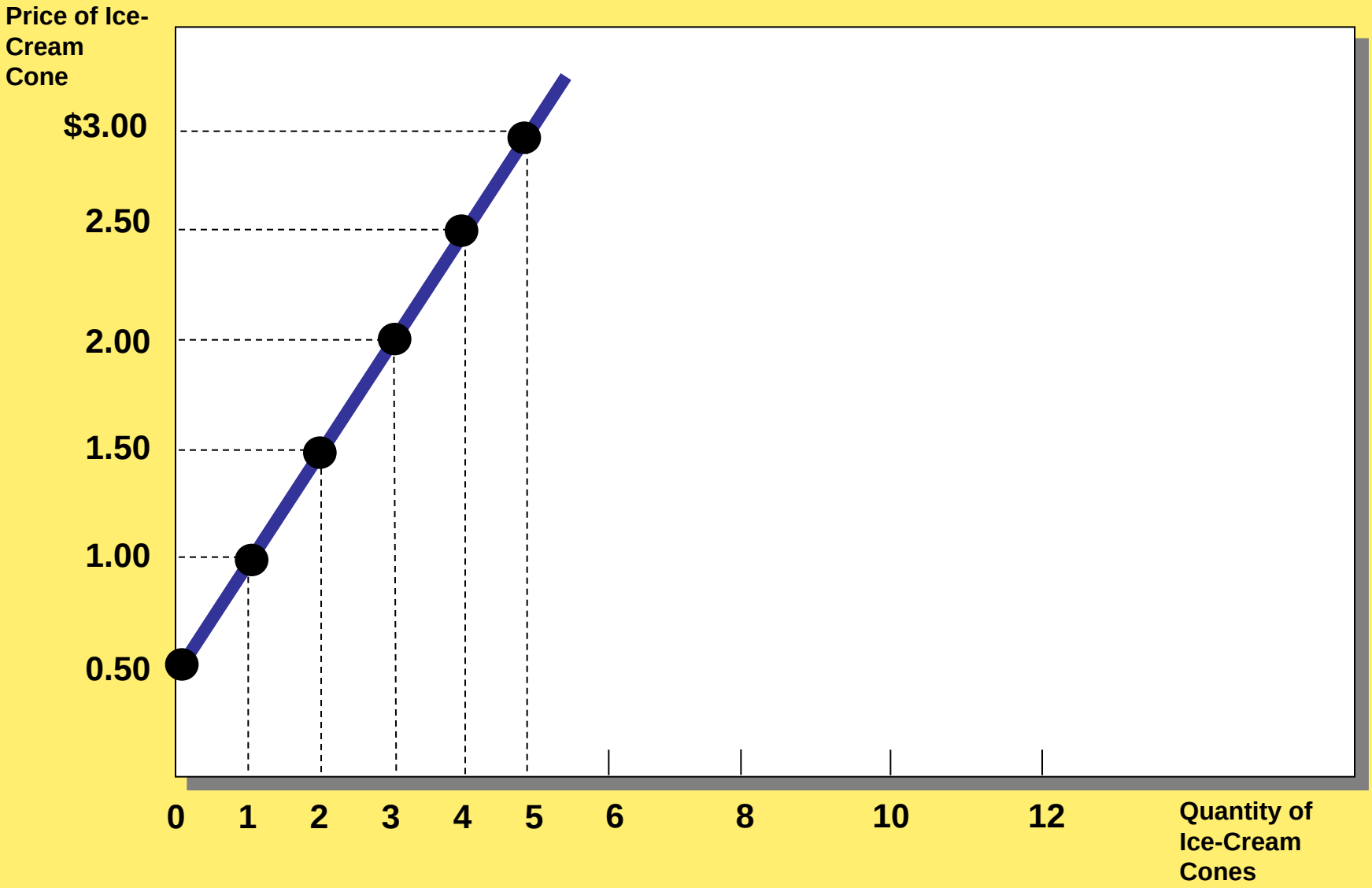
The Supply Schedule and the Supply Curve

- The *supply schedule* is a table that shows the relationship between the price of the good and the quantity supplied.
- The *supply curve* is a graph of the relationship between the price of a good and the quantity supplied.
- *Ceteris Paribus: "Other thing being equal"*

Table 4-4: Ben's Supply Schedule

Price of Ice-cream Cone ($)	Quantity of cones Supplied
0.00	0
0.50	0
1.00	1
1.50	2
2.00	3
2.50	4
3.00	5

Figure 4-5: Ben's Supply Curve



Market Supply Schedule

- Market supply is the ***sum of all individual supplies*** at each possible price.
- Graphically, individual supply curves are summed horizontally to obtain the market demand curve.
- Assume the ice cream market has two suppliers as follows…

Table 4-5: Market supply as the Sum of Individual Supplies

Price of Ice-cream Cone ($)	Ben		Nicholas		Market
0.00	0	+	0	=	0
0.50	0		0		0
1.00	1		0		1
1.50	2		2		4
2.00	3		4		7
2.50	4		6		10
3.00	5		8		13